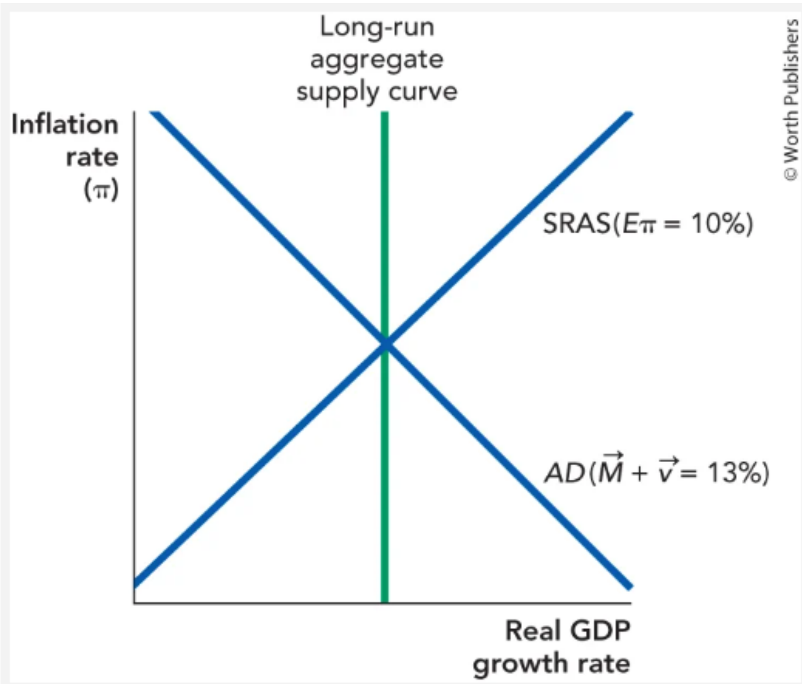
1. Let's bring SRAS back into the model, and play the role of a central banker reacting to a rise in velocity growth. The following diagram shows the economy growing at the potential growth rate with 10% inflation. Illustrate what happens if consumers and investors become more optimistic. Clearly label the new growth rate on the x-axis with the words "High-AD real growth," and label the new inflation rate on the y-axis with the words "High-AD inflation."

a. The following diagram shows the economy growing at the potential growth rate with 10% inflation. Illustrate what happens if consumers and investors become more optimistic. Clearly label the new growth rate on the x-axis with the words "High-AD real growth," and label the new inflation rate on the y-axis with the words "High-AD inflation."

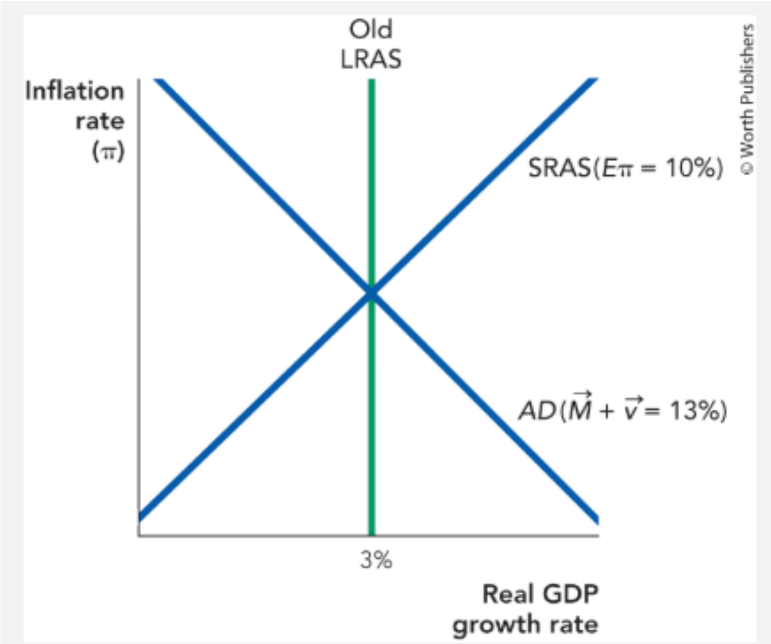
b. Once the central banker sees this rise in AD, they decide to fully reverse it with monetary policy. In the graph, illustrate what happens if they do their job "just right."

c. If they do their job "just right," what will the inflation rate be? Provide an exact number.



2. a. Central bankers must manage expectations. Suppose that inflation is running at 10% and the central banker would like to lower inflation to 2% without reducing real growth. What should the central banker tell the public? And at what level should the central banker set money growth? Assume that velocity shocks are zero and that the potential growth rate is 3%.

b. Suppose that the public does believe the central banker. What temptation might the central banker face? (Hint: Imagine that it is an election year and the central banker would like to see the current administration reelected.)



3. Let's use the model of the supply and demand for bank reserves to explain how the Federal Reserve can change aggregate demand in the short run. Remember that the Federal Reserve controls the supply of bank reserves, but private banks create demand for bank reserves.

a. After a meeting, the Federal Reserve's Open Market Committee votes to cut interest rates from 2% to 1.5%. How will they make this happen: Will they increase the supply of reserves or decrease the supply?

b. As a result of your answer to part a, will banks usually lend more money in response, or will they lend less money? Will this tend to increase the nation's money supply, lower it, or will it have no net effect on the money supply?

c. Will this typically increase aggregate demand or lower it?